

AI Governance Diagnostic Report

Northgate Business Insurance

Insurance (US) · Engagement ref CLR-NGB-US-0001 · September 25, 2026

DEPLOYMENT BLOCKED

Sample report · Fictional organisation
Engine v1.6 · Library v1.9.7

AI Governance Diagnostic Report

Engagement ref	CLR-NGB-US-0001	Date issued	September 25, 2026
Organisation	Northgate Business Insurance	Engine version	v1.6 · Library v1.9.7
Sector	Insurance (US)	Active layers	core, us_insurance

● **DEPLOYMENT BLOCKED: 7 governance gaps identified. 0 Critical · 6 High · 1 Medium**

CRITICAL	HIGH	MEDIUM	DEPLOYMENT BLOCKERS	ASSESSMENT CONFIDENCE
0	6	1	2	100%

This report is the output of a fixed-rules diagnostic evaluation. Every gap was triggered by the intake responses against a fixed gap library. The same inputs produce the same findings every time. This is not a consultant's view. It is a structured result. It does not constitute legal or regulatory advice. Specific regulatory obligations should be confirmed with your legal or compliance adviser.

EXECUTIVE SUMMARY

This assessment of Northgate Business Insurance's AI deployment identified failures across decision governance and audit capability and AI governance controls. Individually, these gaps create operational risk. Together, they create a position that would be difficult to defend during an incident investigation, procurement review, or regulatory challenge. This system must not enter or remain in production until the findings below are resolved.

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Gap Findings

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Every gap below was triggered by intake signals. Each states when it becomes visible and what closes it. Gaps are ordered by severity.

HIGH	G01-CORE-BOUNDARY No decision boundary enforcement An incident investigation asks a simple question: what governed this decision before it executed? For this system, there is no answer. The output became the action with nothing in between.
MEDIUM	G02-CORE-PROVENANCE Provenance weakness A regulator or auditor asks where the data came from that drove a specific decision. Tracing it back takes days, not minutes, and for some inputs there is no trail at all.
HIGH	G03-CORE-AUDIT Audit void A client disputes a decision and asks to see the record. The decision happened. The record of it did not.
HIGH	US-INS-G01-AIS-PROGRAM AI used in regulated insurance practices without a written AIS Program A market conduct examiner's first request is your written AIS Program and evidence the board adopted it. You have neither to hand over. Regulatory obligations: NAIC Model Bulletin: Use of Artificial Intelligence Systems by Insurers (adopted 4 Dec 2023; issued by 25+ states and DC) Section 3 - written AIS Program, governance and board accountability · NAIC Model Bulletin Section 4 - regulatory information and documentation requests during investigations and market conduct examinations · NAIC AI Systems Evaluation Tool (12-state examiner pilot, 2026) - governance exhibit · State Unfair Trade Practices Acts and Unfair Claims Settlement Practices Acts - decisions must not be inaccurate, arbitrary, capricious or unfairly discriminatory · NIST AI RMF Govern 1.1-1.4 (the bulletin permits reliance on NIST AI RMF)
HIGH	US-INS-G03-UNFAIR-DISCRIMINATION-TESTING AI or external data used in underwriting or pricing without documented unfair discrimination and proxy testing A New York examiner asks for your quantitative testing showing the pricing model does not proxy for a protected class. The only evidence is the vendor's assurance letter. Regulatory obligations: NY DFS Insurance Circular Letter No. 7 (11 July 2024) - comprehensive unfair discrimination assessment, quantitative testing and proxy assessment for AIS and ECDIS in underwriting and pricing · Colorado SB 21-169 (C.R.S. 10-3-1104.9) and Regulation 10-1-1 - governance and risk management for external consumer data and algorithms (life insurers; further lines subject to rulemaking) · State unfair discrimination provisions in rating and underwriting laws · NAIC Model Bulletin: Use of Artificial Intelligence Systems by Insurers (adopted 4 Dec 2023; issued by 25+ states and DC) - decisions must not be unfairly discriminatory · NIST AI RMF Measure 2.11 - fairness and bias evaluation

HIGH	US-INS-G04-THIRD-PARTY-AI-OVERSIGHT Third-party AI systems or data used without diligence, audit rights and regulator cooperation terms A regulator asks how you validated the vendor model that priced this policy. The contract gives you no right to look inside it. Regulatory obligations: NAIC Model Bulletin: Use of Artificial Intelligence Systems by Insurers (adopted 4 Dec 2023; issued by 25+ states and DC) Section 3 - standards for third-party AI systems and data: due diligence, audit rights, cooperation with regulatory inquiries · NY DFS Insurance Circular Letter No. 7 (2024) - insurer responsibility for third-party AIS and ECDIS · NIST AI RMF Govern 6.1, Manage 3.1 - third-party AI risk
HIGH	US-INS-G06-CLAIMS-HUMAN-REVIEW AI used to deny or reduce claims without human review before the decision takes effect A policyholder's claim was denied by a model score. In litigation, the claim file shows no adjuster looked at it before the letter went out. Regulatory obligations: State Unfair Claims Settlement Practices Acts (based on the NAIC model act) - reasonable investigation and fair handling of claims · NAIC Model Bulletin: Use of Artificial Intelligence Systems by Insurers (adopted 4 Dec 2023; issued by 25+ states and DC) - claims administration and payment within AIS Program scope; decisions must not be arbitrary or capricious · NAIC AI Systems Evaluation Tool (2026 pilot) - human oversight and outcome monitoring · NIST AI RMF Manage 2.4 - human intervention on AI outputs

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Regulatory Obligations

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The obligations below are engaged by the gaps identified in this report. GAP: a triggered finding directly engages this obligation. REVIEW: this obligation is relevant to your sector and worth examining. NOT COVERED: this assessment did not include questions for this obligation.

OBLIGATION	RELEVANCE	STATUS
NAIC Model Bulletin: Use of AI Systems by Insurers	Written AIS Program with board accountability, proportionate controls, third-party standards	GAP
NAIC Model Bulletin Section 4 / AI Systems Evaluation Tool	Examiners request the program, AI inventory, testing records and vendor contracts	REVIEW
NY DFS Insurance Circular Letter No. 7 (2024)	Unfair discrimination and proxy testing of AI and external data in underwriting and pricing; specific reasons for adverse decisions	GAP
Colorado SB 21-169 / Regulation 10-1-1	No unfair discrimination from external consumer data and algorithms; governance and risk management	GAP
NAIC Model Bulletin: third-party AI standards	Due diligence, audit rights and regulator cooperation for vendor AI and data	GAP
State adverse underwriting decision notice laws	Specific reasons for adverse underwriting decisions, including AI and external data	REVIEW
Unfair Claims Settlement Practices Acts	Reasonable investigation and fair handling of claims, including AI-supported decisions	GAP
NIST AI RMF	Govern, Map, Measure, Manage functions, recognised by the NAIC bulletin	REVIEW

NEXT STEP

CLEARANCE identifies gaps. It does not remediate them. Remediation is carried out by a qualified partner. Contact whoever provided this report to discuss next steps.

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Remediation Roadmap

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One action per gap. Ordered by timeline. Critical gaps require immediate action. High severity gaps must be addressed within 90 days. Medium severity gaps within 180 days.

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
90 DAYS	G01-CORE-BOUNDARY No decision boundary enforcement	Introduce a rule evaluation layer between this system's output and the action it takes. Even a minimal documented ruleset is a material improvement on none.	HIGH	your system architect
90 DAYS	G03-CORE-AUDIT Audit void	Start logging every decision this system makes today: date, input, output, rule applied, in a write-once store. This is the foundation. Every other governance control depends on it existing.	HIGH	your compliance lead
90 DAYS	US-INS-G01-AIS-PROGRAM AI used in regulated insurance practices without a written AIS Program	Draft a proportionate AIS Program this month, name the accountable executive, and take it to the board or a board committee for adoption.	HIGH	your compliance lead

TIMELINE	GAP	ACTION REQUIRED	PRIORITY	OWNER
90 DAYS	US-INS-G03-UNFAIR-DISCRIMINATION-TESTING AI or external data used in underwriting or pricing without documented unfair discrimination and proxy testing	List every model variable and external data source in underwriting and pricing today, and commission a documented proxy and disparate-impact assessment.	HIGH	your compliance lead
90 DAYS	US-INS-G04-THIRD-PARTY-AI-OVERSIGHT Third-party AI systems or data used without diligence, audit rights and regulator cooperation terms	List every AI and data vendor behind a regulated decision this week and check each contract for audit rights and regulator cooperation.	HIGH	your compliance lead
90 DAYS	US-INS-G06-CLAIMS-HUMAN-REVIEW AI used to deny or reduce claims without human review before the decision takes effect	Put a human review step in front of every AI-supported claim denial or reduction today, and record who reviewed it and why.	HIGH	your compliance lead
180 DAYS	G02-CORE-PROVENANCE Provenance weakness	Create a register of every data source feeding this system. Assign an owner and a validation status to each.	MEDIUM	your system architect

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Evidence Appendix

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ASSESSMENT RESPONSES

QUESTION	RESPONSE	CATEGORY
AI system is live in production or active pilot	Yes	Your AI system
System makes or influences high-impact decisions	Yes	Your AI system
Decisions execute without individual human review	Yes	Your AI system
A written decision boundary document exists	No	Rules and boundaries
That document is version-controlled and enforced at runtime	No	Rules and boundaries
System uses data from outside the organisation	Yes	Data
Purpose-compatibility assessment completed for external data use	No	Data
Every input is traceable to its origin, owner, and last update	No	Data
Automated validation runs before data reaches the system	No	Data
Every decision is logged automatically at the time it happens	Yes	Records and accountability
A tamper-evident, provable audit trail exists	No	Records and accountability
A functioning human override mechanism exists and is used	Yes	Records and accountability
A named individual is personally accountable for this system	Yes	Records and accountability
Documented data subject rights process covers this AI system	No	Records and accountability
An incident, near-miss, or complaint has occurred	No	When things go wrong
Documented corrective action was taken following the incident	No	When things go wrong
Does this AI system make or support decisions in regulated insurance practices: underwriting, rating and pricing, claims, marketing, or fraud detection?	Yes	US Insurance Controls
Has the insurer adopted a written AI Systems (AIS) Program, approved by the board or a board committee, with a named senior executive accountable for it?	No	US Insurance Controls
Is there a current inventory of AI systems and predictive models used in regulated decisions, including third-party tools, with each rated for potential consumer harm?	Yes	US Insurance Controls
Is AI or external consumer data (credit-based, behavioural, telematics, web or other third-party data) used in underwriting or pricing?	Yes	US Insurance Controls
	No	US Insurance Controls

QUESTION	RESPONSE	CATEGORY
Has documented unfair discrimination testing, including a proxy assessment for protected classes, been done on these underwriting or pricing models before deployment and on a recurring schedule?		
Does this system rely on AI models, tools or data supplied by a third party?	Yes	US Insurance Controls
For each such vendor, is there documented due diligence and a contract giving audit rights (or a qualified audit report), cooperation with regulators, and notice of material changes?	No	US Insurance Controls
Does the AI make or support adverse decisions for consumers or policyholders, such as declines, surcharges, non-renewals, or claim denials or reductions?	Yes	US Insurance Controls
Do those consumers receive the specific reasons for the decision, including any external data relied on, and a documented route to ask about or contest it?	Yes	US Insurance Controls
Is AI used in claims handling in a way that can deny, reduce or delay a claim payment?	Yes	US Insurance Controls
Does a qualified adjuster review every AI-supported claim denial or reduction before it is issued, with the reviewer and reason recorded in the claim file?	No	US Insurance Controls
List the US states where this AI system affects policyholders or applicants (comma-separated, e.g. CA, NY, CO):	['CA', 'CO', 'FL', 'NY', 'TX']	US Insurance Controls

ASSESSMENT INTEGRITY

Organisation: Northgate Business Insurance
Sector: Insurance (US)
Run ID: 8473eee3-71a6-4e5d-9375-207ef948291e
Engine version: v1.6 · **Library version:** v1.9.7
Active layers: core, us_insurance
Findings hash: b3bea9977a3ac340c2ea87ec1663917efe8c28e5cfb93c09bc30c3cb634fc636
Generated: 2026-09-25T20:39:01.502962+00:00

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